Entrepreneurship

Chapter 1: The Foundations of Entrepreneurship - Lesson 1

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What is the Purpose of This Lesson?

Learn the Basics

Dear students, in this lesson, we will learn what entrepreneurship is in its most basic form.

Understand Characteristics

We will cover the common characteristics of entrepreneurs, and the advantages and disadvantages of this business.

Our Goal

Not to memorize complex hard theories, but to grasp the logic of the subject with examples from daily life.

Who is an Entrepreneur?

The Simplest Definition



Definition: An entrepreneur is a person who sees an opportunity, takes a risk, and creates a new business to earn a profit.

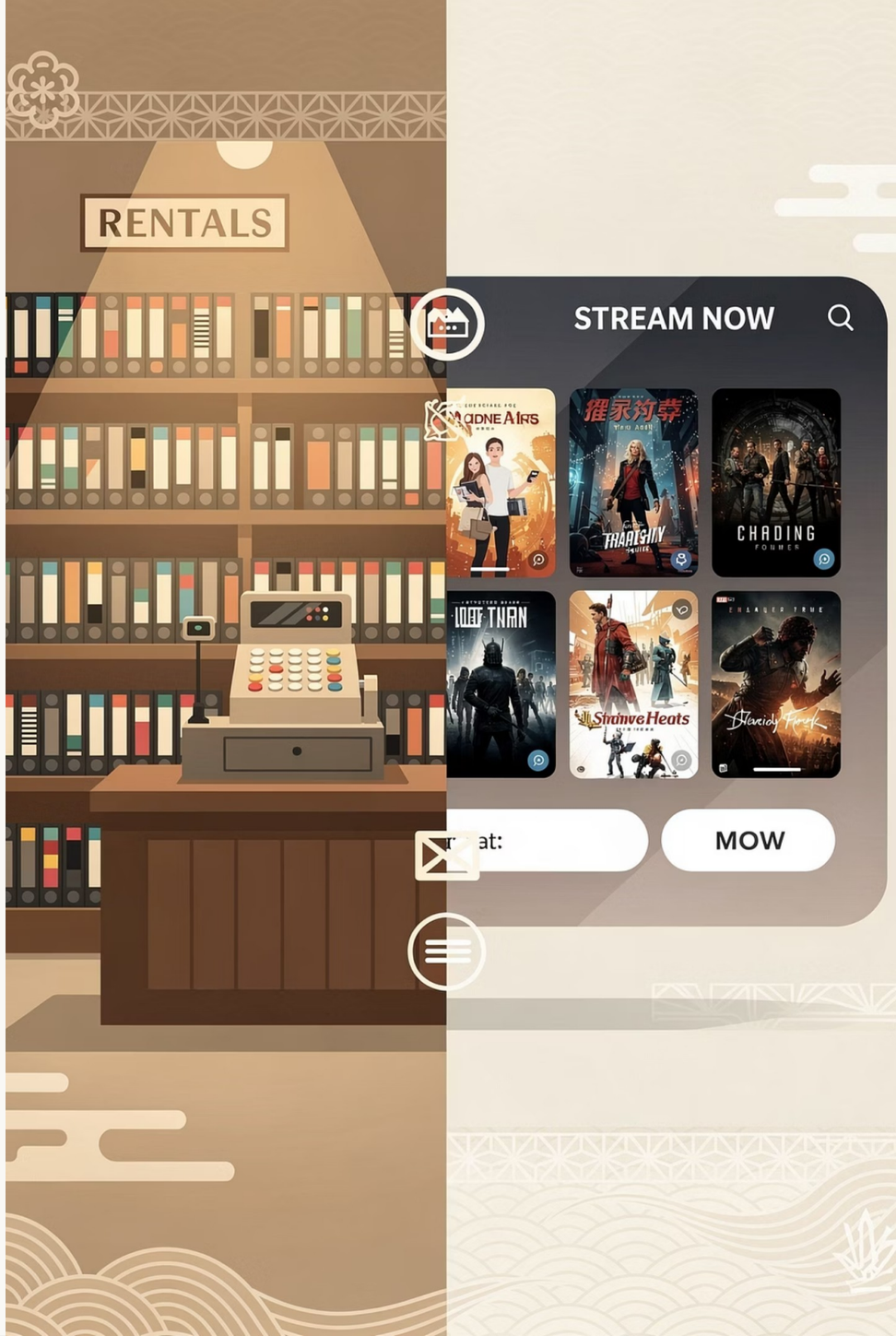
An idea is not enough, action is required! Many people have great ideas, but only those who take action are called entrepreneurs.

Example: Saying "I wish there was a place that makes fresh coffee here" is an idea. Putting a coffee cart there and starting to sell coffee is entrepreneurship.

What is Creative Destruction?

Definition: According to economist Joseph Schumpeter, it is the process where new ideas destroy old and obsolete ones and take their place.

> **Example:** We used to go to cassette or DVD shops (Blockbuster) to rent movies. Netflix (a new venture) emerged and completely destroyed these cassette shops (the old). This situation is called "Creative Destruction" and it is very beneficial for the economy.



10 Fundamental Characteristics of Successful Entrepreneurs

People are not born as entrepreneurs, but successful ones usually show these 10 characteristics:

1. Desire for Responsibility
2. Moderate Risk Taking
3. Self-Confidence and Independence
4. Determination and Grit
5. Desire for Feedback
6. High Energy
7. Future Orientation
8. Skill in Bootstrapping
9. Organizational Skill
10. Valuing Achievement Over Money

Characteristic 1: Desire for Responsibility

What It Means

Explanation: They want to take full responsibility for their own mistakes or successes. They do not say, "Let someone else do it."

Real-World Example

Example: If a shipped product reaches the customer late, the entrepreneur does not blame the shipping company and step aside. They take responsibility, apologize to the customer, and solve the problem themselves.



Characteristic 2: Moderate Risk Taking

Explanation: Entrepreneurs are not blind "gamblers" who take risks. They take calculated, logical risks.

> **Example:** A person who will open a restaurant does not invest all their money in a single luxury restaurant. First, they open a small food truck, measure the customer's interest (take a small risk), and if the business catches on, they expand the money.

Characteristic 3: Self-Confidence and Independence

Core Trait

Explanation: They believe in their ability to make their own decisions and work without taking orders from others.

In Action

Example: Even when everyone tells them, "This idea will never work, stay in your salaried job," they are the ones who trust their own analysis and idea and show the courage to start that business.



Characteristic 4: Determination and Grit

Not Giving Up

Explanation: They do not give up immediately when faced with obstacles; the power to continue on the path is called "Grit" (Determination).

Example: Thomas Edison failed thousands of times before inventing the light bulb. If he had given up at the first failure, he could not have been an entrepreneur. **An entrepreneur is someone who comes in through the chimney if chased out the door.**

Characteristic 5: Desire for Feedback

Embracing Criticism

Explanation: They constantly ask, "How am I doing? What should I fix?" They are not afraid of criticism; they feed on it.

Example: An entrepreneur making a new mobile phone application tells their friends, "Please tell me the worst parts of the application so I can fix them."



Characteristic 6: High Energy

Explanation: Starting a new business requires much more effort and working hours than a regular shift (09:00 - 17:00).

> **Example:** While an entrepreneur sells in the shop during the day, they go home at night, keep the company's accounting records, and manage social media accounts.

Characteristic 7: Future Orientation

Always Looking Ahead

Explanation: They do not waste too much time on what happened yesterday; they always think, "What can I do tomorrow? What new opportunity can I catch?"

Strategic Thinking

Example: If the cassette rental shop owner only looked at today, they would go bankrupt. The future-oriented entrepreneur, on the other hand, says, "Soon everyone will watch movies on the internet" and establishes a digital platform.

Characteristic 8: Skill in Bootstrapping

Resourcefulness

Explanation: It is the strategy of using available facilities in the most efficient way with a limited budget.

Example: Starting the company in a home garage or a cafe instead of renting a giant office. Investing the first profit back into the business instead of personal expenses is an example of "Bootstrapping."



Characteristic 9: Organizational Skill

Explanation: It is the ability to bring together the right people, the right tools, and the right time to complete that giant puzzle.

Example: An entrepreneur who does not understand software bringing together a great software developer, a good marketer, and an investor at the same table to create a perfect team.



Characteristic 10: Valuing Achievement Over Money

Explanation: Money is not the primary goal. Money is only seen as a measure of success (a scoreboard). The main motivation is to "achieve and create."

> **Example:** The biggest proof of this is that entrepreneurs who sell their billion-dollar companies do not retire and lie on the beach, but instead start a brand new small company the next day and start working hard again.

Different Types of Entrepreneurs

Opportunity and Necessity

According to our book, there are two types of entrepreneurs based on the reason for entering the market:

1. Opportunity Entrepreneur

A person who sees a gap (opportunity) in the market and starts a business voluntarily.

Example: Realizing that university students have a laundry problem and starting a laundry service.

2. Necessity Entrepreneur

A person who starts their own business out of necessity because they cannot find a job elsewhere.

Example: Someone who gets fired during a crisis and starts running a taxi stand to survive.



Continuous Business Builders

"Serial Entrepreneurs"

Explanation: They are not people who start a single company and manage it for a lifetime; they are people who continuously start new companies one after another.

Example: They start a gaming company, grow it, and sell it to a large firm for millions of dollars. The next day they get bored and start an e-commerce site this time. This is called serial entrepreneurship.

The 6 Big Advantages of Starting Your Own Business

Why do people leave a regular salary and enter such a difficult path? Here are 6 main reasons:

01

Creating Your Own Destiny (Independence)

02

Opportunity to Make a Difference in the World

03

Reaching Your Full Potential

04

Reaping Impressive Profits (High Earnings)

05

Contributing to Society

06

Doing What You Love and Having Fun

Advantage 1: Freedom to Create Your Own Destiny



Explanation: It means being your own boss. It is writing your own rules instead of following someone else's.

Example: You, not someone else, decide what time to start work in the morning, where to open the office, and who to sell to.

Advantage 2: Opportunity to Make a Difference in the World

Social Entrepreneurship

Explanation: Starting a business not just to make money, but to solve a societal problem. This is called Social Entrepreneurship.

Example: Not just selling shoes, but creating a company (like TOMS Shoes) that "gifts a pair of shoes to a child in Africa for every pair sold."



Advantage 3: Reaching Your Full Potential

Unlimited Possibilities

Explanation: In corporate companies, your ideas are often rejected by your managers. In your own business, your imagination has no limits.

Creative Freedom

Example: When you say "I want to make this cake pink," instead of your boss stopping you, it is being able to produce pink cakes however you want in your own bakery.



Advantage 4: Reaping Impressive Profits

Explanation: Instead of being tied to a fixed and limited salary, it is the possibility of earning unlimited money as much as you work and grow your company.

> **Example:** Getting rich by working for a salary in a bank can take decades; however, an entrepreneur who develops a successful mobile application can earn millions of dollars in a few years.

Advantage 5: Contributing to Society and Getting Recognized

Explanation: When you build a successful business, you provide job opportunities (employment) to the people in your area, and you become a respected person.

Example: Opening a new production workshop in the neighborhood and giving jobs to 20 locals. People trust you saying, "This person is developing our neighborhood."

Advantage 6: Doing What You Love and Having Fun

Explanation: It is turning your hobby or something you are passionate about into your job. In this case, work ceases to be work.

Example: Someone who loves mountaineering on weekends starting a company that sells mountaineering equipment. They both do their hobby and earn money.



The 7 Potential Disadvantages (Challenges) of Entrepreneurship

Everything is not perfect, being the "boss" has a huge price to pay:

1. Uncertainty of Income
2. Risk of Losing Your Entire Investment
3. Long Hours and Hard Work
4. Lower Quality of Life (In the beginning stage)
5. High Levels of Stress
6. Complete Responsibility
7. Likelihood of Discouragement

Disadvantage 1: Uncertainty of Income

No Regular Salary

Explanation: You don't have a guaranteed salary that will definitely be deposited at the end of the month. If you don't make sales, you can't bring money home.

Example: When money is earned in the company, first taxes are paid, then worker salaries, and finally the boss's money. Sometimes there is no money left for the boss!



Disadvantage 2: Risk of Losing Your Entire Investment

Explanation: Entrepreneurs usually spend all their savings or take out a bank loan to start a business. If the business goes bankrupt, it's all gone.

> **Example:** You sold your house to raise capital and opened a shop. If things don't go well, you will not only lose the shop, but also that house forever.

Disadvantage 3: Long Hours and Hard Work



Explanation: Bosses do not work 9-to-5. Getting a new business off the ground can require working 6-7 days a week, 12-14 hours a day.

Example: An employee can turn off their computer at 5 PM and watch a series at home, but the entrepreneur has to enter the orders for tomorrow's goods at that hour.

Disadvantage 4: Lower Quality of Life in the Beginning

Explanation: In the first years of the business, going on a holiday or resting is almost impossible. All time is spent on the company.

Example: While your friends swim in the sea in the summer, you might have to take inventory in your warehouse with a broken air conditioner. You spend less time with your family.

Disadvantage 5: High Levels of Stress

Explanation: Risking the entire investment and lacking the security of a paycheck creates tremendous psychological pressure and stress.

> **Example:** When the end of the month approaches and it's time to pay the workers' salaries, if there is not enough money in the safe, the entrepreneur stays awake until morning.



Disadvantage 6: Complete Responsibility and Loneliness

The Weight of Leadership

Explanation: An employee can say, "Let me ask my boss" about a topic they don't know. But if you are the boss, you have no one to ask; you have to make that decision.

Real Consequences

Example: When a legal document arrives or there is a problem with taxes, you cannot say "I don't understand." The consequences bind you directly.

Disadvantage 7: Likelihood of Discouragement

Explanation: Countless hitches, customer complaints, and financial difficulties sometimes make one say, "I wish I could go back to my salaried job."

Example: When you make no profit for the first 6 months and constantly spend out of pocket, that feeling of "I will never succeed" is very heavy.

The 8 Main Forces Driving the Entrepreneurial Trend Today

Why does everyone want to start their own business in recent years?

1. Entrepreneurs as Heroes (Role Models)
2. Entrepreneurial Education
3. Demographic and Economic Factors
4. Shift to a Service Economy
5. Technological Advancements
6. Independent Lifestyle Desire
7. The Internet and Cloud Computing
8. International Opportunities



Forces 1, 2, 3: Role Models, Education, and Demographics

Entrepreneurs as Heroes

As people like Steve Jobs and Mark Zuckerberg are glorified as heroes by the media, young people look up to them.

Education

Universities are now offering entrepreneurship courses (just like you are in this class now) to prepare students for this.

Demographics

There is a young and energetic population in the world between the ages of 20-44, and they are more open to taking risks.

Forces 4 and 5: Service Sector and Technological Advancements

Service Sector

Building a factory requires a lot of money, but starting a "service" (e.g., consulting, cleaning, education) is low-cost. This makes it easier to start a business.

Technology

Giant computers used to cost millions of dollars. Now, with just a smartphone and a laptop, anyone can manage a worldwide company.



Forces 6, 7, 8: Independence, the Internet, and Global Opportunities

Independence

People no longer want to be confined to offices. They want to work with their computers in a cafe.

Internet/Cloud Computing

Thanks to cloud computing, you can rent software very cheaply and look as professional as giant companies.

Global Opportunities (Micromultinationals)

A high school student selling t-shirts online can take orders from America to Japan on the very first day. Borders have disappeared now.

The Cultural Diversity of Entrepreneurship

Who Becomes an Entrepreneur?

Entrepreneurship does not only belong to a certain age or gender. There are very diverse groups in the ecosystem:

1. **Young Entrepreneurs**
   Those starting businesses in university

2. **Women Entrepreneurs**
   The fastest-joining group in the economy

3. **Home-Based Businesses**
   Those minimizing costs with technology

4. **Family-Owned Businesses**
   Managed by father, mother, and children

5. **Copreneurs**
   Husband and wife starting a business together

Corporate Castoffs and Dropouts

Additionally, those fired by companies or bored with that system are a large group.

Explanation: The downsizing decisions of large companies (layoffs) or the boredom of that "suit-wearing 9-5 life" push many professionals to start their own businesses.

Example: A bank manager of 15 years resigning and starting a boutique hotel or an organic farming company in the Aegean.



Overcoming the Fear of Failure!

"Small is beautiful"

Small companies are fast; they adapt to change instantly.

View on Failure

A real entrepreneur does not see failure as the "end of the road"; they simply see it as an "experience where they learned what doesn't work." **Do not be afraid to try!**

The 5 Golden Rules for Avoiding Failure

So what should we pay attention to so we don't go bankrupt when starting a business? Here are 5 simple rules:



Know Your Business in Depth



Develop a Solid Business Plan



Manage Financial Resources



Manage People Effectively



Set Your Business Apart

Rule 1: Know Your Business in Depth



Explanation: You must know the industry you will enter, the customer, and the rules inside out.

Example: Someone who doesn't know how to cook at all and has never worked in the restaurant industry opening a luxury restaurant just because they have money is an invitation to bankruptcy. They should first go work in a restaurant and learn the business in its kitchen.

Rule 2: Develop a Solid Business Plan

Explanation: Before starting the company, everything must be planned on paper. The business plan is your roadmap.

> **Example:** Even when going on a holiday, we plan where we will go, how much money we will spend, and where we will stay. Setting out without a plan when starting a million-dollar business is like sailing into the ocean without a map.

Rule 3: Understand Financial Statements and Cash Management

Explanation: "Profit" and "Cash" are not the same thing. Even if a company makes a profit on paper, if it does not have hard cash in its safe, it goes bankrupt.

Example: You sold a lot of goods, but everyone bought them on credit. You are very profitable on paper, but if you do not have the "cash" to pay the shop's rent the next day, your company will go bankrupt! That is why you must manage money well.



Rule 4: Hire the Right People and Manage Effectively

Your Team Matters

Explanation: You cannot do everything alone. Success depends on the talent of the people in your team.

Impact on Business

Example: You may have a great menu, but if your waiter is rude to the customer, that customer will never come to that restaurant again. It is your employees who make your company either a king or a disgrace.



Rule 5: Set Your Business Apart from the Competition

Explanation: You cannot be successful by doing the "Exact same" ("Me-too business") of what is already in the market. There must be a reason that makes you special.

Example: If there are 5 doner kebab shops side by side on the street, and you open the 6th doner shop with the same menu, same price, and same taste, why should people come to you? You must have a special sauce, a different presentation, or a very fast service.

Conclusion

Summary of Week 1

Creative Force

Entrepreneurship is not just a way to get rich, it is a creative force that moves society forward.

Serious Risks

Besides its great advantages, there are serious risks (stress, sleeplessness, lack of money) that must be faced.

Path to Success

If you manage your business, financial statements, and team well, your chance of success will be as secure as in a corporate company and much more enjoyable.

End of Lesson Quiz Questions

10 Questions to Test Your Knowledge

The following questions will help you review the key concepts from this lesson. Take your time and think carefully about each answer.

Quiz Questions 1-3

1

Creative Destruction

Question: What did J. Schumpeter call the process of finding a new idea or technology and wiping out existing old technology or businesses from the market (e.g., Netflix destroying cassette shops)?

A) Effectual Reasoning
B) Bootstrapping
C) Creative Destruction
D) Developing a Business Plan

Answer: C

2

Necessity Entrepreneur

Question: What do we call a person who starts their own small business out of necessity because they cannot find a job anywhere else (e.g., becoming a street vendor after being laid off during a crisis)?

A) Opportunity Entrepreneur
B) Social Entrepreneur
C) Serial Entrepreneur
D) Necessity Entrepreneur

Answer: D

3

Bootstrapping

Question: Entrepreneurs, when resources are very limited, grow the business by working in a home garage instead of renting expensive offices and reinvesting the profit back into the business. What is the name of this strategy?

A) Franchising
B) Bootstrapping
C) Creative Destruction
D) Social Entrepreneurship

Answer: B

Quiz Questions 4-7

1

Social Entrepreneur

Question: What are the business founders called whose main goal is not just to make money, but to produce solutions to social problems such as hunger, environmental pollution, or lack of education?

A) Social Entrepreneur
B) Serial Entrepreneur
C) Copreneur
D) Home-Based Entrepreneur

Answer: A

2

Serial Entrepreneurs

Question: What do we call entrepreneurs who constantly start different companies one after another, and after growing and selling one, immediately move on to establishing a brand new company?

A) Necessity Entrepreneurs
B) Serial Entrepreneurs
C) Lucky Entrepreneurs
D) Stressed Entrepreneurs

Answer: B

3

Advantages

Question: Which of the following is NOT one of the advantages of starting your own business (entrepreneurship)?

A) Determining your own destiny and rules
B) The guarantee of a regular, risk-free, fixed salary deposited exactly on the 1st of every month
C) The opportunity to do a job you are interested in and love
D) Being able to earn impressive profits by using your full potential

Answer: B

4

Micromultinationals

Question: What is the business type called today that allows small businesses to sell globally (internationally) in a very short time?

A) Family-owned businesses
B) Local markets
C) Micromultinationals
D) Holding companies

Answer: C

Quiz Questions 8-10

1

Copreneurs

Question: What are husband and wife called in English when they join forces to start a joint business and manage the business together?

A) Dropouts
B) Castoffs
C) Copreneurs
D) Franchisor

Answer: C

2

Cash Management

Question: It is one of the deadliest mistakes made when starting a business. Which lack of knowledge does it show if the entrepreneur relies only on the sales profit on paper and cannot arrange the "hard cash" to pay the electricity bill from the safe at the end of the month?

A) Cash Management and Financial Statements
B) The number of pages of the business plan
C) Social entrepreneurship goals
D) The logo colors of the competitors

Answer: A

3

Risk-Taking Profile

Question: What is the risk-taking profile of successful entrepreneurs?

A) They are like gamblers who invest all their assets in a single bet.
B) They do not take even the slightest risk under any circumstances.
C) They make random leaps like a visually impaired person.
D) They research the market and take moderate and calculated (logical) risks.

Answer: D